

EQUITY RESEARCH PITCH · NOVEMBER 2026

NYSE: CMG · Priced for perfection

Chipotle Mexican Grill

Prepared by Miranda



SELL

Price target $28 · 15% downside · Share price $32.91 (Nov 2, 2026)

COMPANY OVERVIEW

The scale leader in company-run fast casual



4,267
company-owned restaurants (Sep 30, 2026)

$11.9B
FY2025 revenue, up 5.4%

16.2%
FY2025 operating (EBIT) margin

36.7%
of food and beverage sales ordered digitally

$0 debt
$1.0B cash and investments (Sep 30, 2026)

340–360
planned 2027 US and Canada openings

Sources: Chipotle FY2025 10-K, Q3 2026 10-Q and Q3 2026 earnings release · 2

INDUSTRY CONTEXT

Fast casual is maturing

Growth now comes from new stores, not more visits.

$77B

top-500 fast-casual chain sales, 2025

6% vs 9%

2025 sales growth vs the prior 3-year average



+1.7%

fast-casual traffic growth, Oct 2025, down from +3.3%

8.1%

of quick-service visits now taken from fast casual

Costs are rising at the same time

Beef herd at a 75-year low; wage floors keep climbing (California: $20 an hour).



THESIS 1 OF 3

The market is already paying for the bull case

19.5x

EV/EBITDA, 16% above the 16.8x peer median and above even the 75th percentile (18.6x)

$33.65

our bull-case value: only 2% above today's $32.91, even with comps of 4–5% and margins above 17%

EV incl. leases; TipRanks data Oct 9–Nov 2, 2026. Bull case: own model · 4



54%

of sales go to food and labor; 1 pt of labor ≈ $119M of EBIT (~6%)

THESIS 2 OF 3

Food and labor costs cap the margin recovery

% of revenue	Q3 2025	Q3 2026	Change
Food, beverage, packaging	30.0%	29.5%	−0.5 pt
Labor	25.2%	25.7%	+0.5 pt
Restaurant-level margin	24.5%	23.3%	−1.2 pt
Operating margin	15.9%	13.7%	−2.2 pt

Food improved only through menu price increases and tariff relief; beef and freight inflation continue.

Sources: Chipotle FY2025 10-K; Q3 2026 earnings release; own model · 5

THESIS 3 OF 3

Risk/reward is skewed to the downside



Bull · 25%

$33.65

+2% upside

Comps 4–5%, labor 24.5%, 16x exit

Base · 50%

$28.19

–14% downside

Comps 2–3%, labor 25.0%, 14x exit

Bear · 25%

$21.29

–35% downside

Comps ~0%, labor 26.5%, 12x exit

Probability-weighted value: $27.83 15% below today's $32.91

Each case blends a Gordon growth and an exit-multiple DCF 50/50. Source: own model · 6

FINANCIAL SNAPSHOT

Growth slowed sharply in 2025

Fiscal year	FY21	FY22	FY23	FY24	FY25
Revenue ($B)	7.55	8.63	9.87	11.31	11.93
Revenue growth	—	14.4%	14.3%	14.6%	5.4%
EBIT margin	10.7%	13.4%	15.8%	16.9%	16.2%
Diluted EPS ($)	0.46	0.64	0.89	1.11	1.14
Free cash flow ($B)	0.84	0.84	1.22	1.51	1.45

2025 same-store sales fell 1.7%, the first decline since 2006; comps returned to about +2% in Q2–Q3 2026.

Sources: FY2023, FY2025 10-K. EPS split-adjusted. FCF = CFO − capex · 7



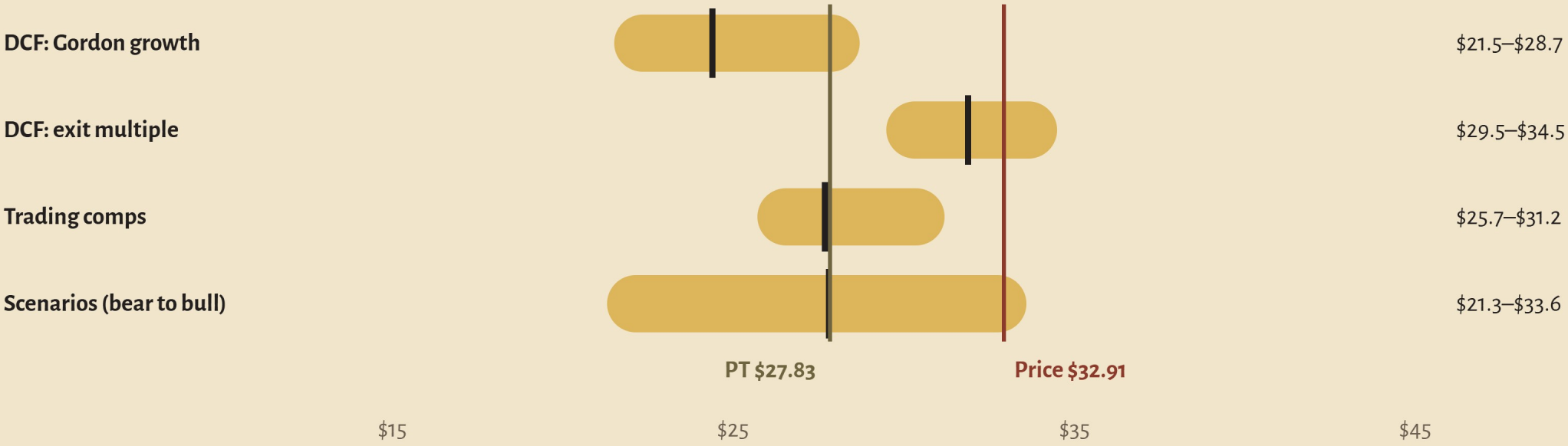
5.4%

revenue growth in 2025, down from about 14% a year in 2022–2024

VALUATION



All base values sit below today's $32.91



Bars = low–high value per share; dark tick = base value. Red line = current price; green line = probability-weighted price target.

DCF ranges: WACC 8.5–9.5%, g 2.5–3.5%, exit 13–15x. Comps: peer 25th–75th percentile EV/EBITDA. Source: own model · 8

RISKS TO THE SELL CALL

Four ways the Sell call could be wrong

Risk	Why it matters	What we watch
Comps recover above 4–5%	Bull case ≈ today's price	Q4 traffic and comps
Beef and labor costs ease	1 pt of margin ≈ 6% of EBIT	Labor %, beef prices
Buybacks shrink share count	$1.46B bought back in 9M 2026	Buyback pace vs FCF
Market keeps a growth premium	16x exit adds ~$4 per share	EV/EBITDA vs peers



Mitigant: even our bull case is only 2% above today, so being wrong costs little unless results beat the bull case.

Sources: own model; Chipotle Q3 2026 10-Q (share repurchases) · 9

CATALYSTS

The next year tests the recovery story

Early Feb 2027 (expected)	Q4 2026 results and first 2027 comps and margin guidance
Through 2027	Delivery of 340–360 openings and new-store returns
Ongoing	Beef prices and USDA cattle herd data (food costs)
Each quarter	Peer results (CAVA, McDonald's): share shift, value war



What would change the call

Hold below ~$32.70 or if comps beat 4% for two quarters; Buy below ~$24.

Sources: Chipotle Q3 2026 earnings release (2027 opening plan); own model · 10